

KUAISHOU TECHNOLOGY 1024

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by

TrustTheProcess1

			2026	2027
Price:	41.00	EPS	5.04	5.50
				3.28
Shares Out. (in M):	4,390	P/E	3.58 (negative w/Kling stake)	(negative w/Kling stake)
				2.54
Market Cap (in \$M):	22,885	P/FCF	2.78 (negative w/Kling stake)	(negative w/Kling stake)
Net Debt (in \$M):	0	EBIT	3,450	3,700
				2.46
TEV (in \$M):	11,403	TEV/EBIT	2.63 (negative w/Kling stake)	(negative w/Kling stake)

Description

Kuaishou is a compelling SOTP story with negative enterprise value, ~50% of the market cap in net cash and a near-term path to spin-off a stake worth the other ~50% of market cap (Kling AI), leaving the core business for free. Kuaishou is the #2 short-video social media platform in China and owns 68% of Kling AI, a pro-focused generative video AI model valued at \$18B USD last month in its first external financing round. Performance in the 'core' app has matured post-COVID and growth has been recently dragged down by regulatory and tax changes amid weak China macro but should inflect in 2027. Kuaishou has de-rated alongside core app performance and shares today do not capture the recently highlighted Kling AI stake. Kuaishou's net cash balance + Kling AI stake are worth the entire enterprise value today and shares attribute no value to the 'core' short-form video application with 700M MAUs generating ~\$3B of net income. We see +50-100% upside as core trends improve, Kling AI value is crystalized through a mid-'27 IPO and shareholder returns accelerate.

Kuaishou is the 2nd largest social media platform in China behind Douyin (Bytedance) and operates a short-video app similar to Tiktok. Kuaishou has a differentiated user base with greater exposure to lower-tier cities and an algorithm that promotes organic content from a long-tail of creators and merchants. ~60% of revenue comes from online marketing, ~25% from take-rate on virtual gifts during Livestream, and ~15% from eCommerce transaction commissions.

Growth for the 'core' app is expected to pace ahead of China eCommerce (MSD-HSD%) but has slowed post-COVID and recently plateaued after regulatory and tax headwinds impacting 2026 results. In December, Kuaishou livestream platform was hit with a cyberattack that spread inappropriate content and resulted in strict government focus. The result is a one-time removal of certain accounts, creating headwinds for '26 growth but a healthy base to grow off in '27. Simultaneously, a new tax enforcement policy requires all eCommerce platforms to submit quarterly merchant statements, increasing tax collection for SME merchants. This policy changed slowed SME platform marketing spend but sets up normalized comps for 2027. Despite these headwinds, core app growth is ~1% in '26 (ex. Kling) and operates at ~55% gross margins and ~20% EBITDA margins. Management sees a ~500bps long-term margin opportunity and currently runs the app at a ~10-12% ad-load vs. Douyin at ~15-20%. Growth should return to ~MSD-HSD rates in '27 based on underlying engagement and monetization trends adjusting for the impact of regulatory changes and can accelerate further as China macro improves.

Kuaishou also developed Kling AI using their proprietary tagged video data from the social media app. Kling is a multi-modal generative video AI model differentiated vs. Seedance (Bytedance) and Veo (Google) with life-like physics and cinema quality, including multi-shot capabilities. ~70% of Kling AI revenue is generated from overseas markets (largest of which is US) and ~60% of revenue is from API usage. Kling targets professional video customers (TV/film and advertising agencies) and has experienced no issues with training data while Seedance received cease and desist letters from DIS/NFLX/WBD/PSKY and Minimax has an ongoing lawsuit with DIS/WBD/Universal.

While the future path of AI model development and economics is uncertain, we believe that video model economics are superior to text-based LLMs yet the recent round values Kling at a discount to global peers. LLMs utilize commoditized internet data and differentiate on reasoning architecture and compute efficiency while Gen AI video favors platform owners with a proprietary database of video data (Kuaishou app, Bytedance Douyin, Google YouTube) with descriptions, captions and engagement data and monetization engine through platform advertising synergy. Video model architecture is also different: LLMs are predictive vs. video models use a Diffusion Transformer (DiT) to iteratively "sculpt" tokens based on text or images (think of process like sculpting from marble). LLMs generally run a single, auto-regressive pass vs. video models run 20-50 iterative de-noising steps at maximum GPU utilization. More compute per unit of output against scarce capacity drives pricing power and MiniMax earns ~70% gross margin on video against ~20% on text models. OpenAI quickly discontinued Sora after losing money with negative unit economics and Anthropic is not focused on image or video generation models. Importantly, Kling operates in a durable niche supporting professional customers. Kling's capabilities are strongest for generating life-like physics used for background sets and special effects, which we believe are the cleanest path to early professional adoption of generative AI, sidestepping pushback from actors. An early proof point of Kling's capability is the recent use by Amazon for their 'House of David' show, which was shot entirely in front of an LED screen. Kling was used for both background scenery and complex special effects in combat scenes. Our channel checks indicate industry adoption is in early innings, mostly focused on testing use cases, and will accelerate as studios integrate these tools into normal workflows, and technology capabilities continue to improve.

Kling reached \$500M of ARR in March and recently completed a \$3B USD financing round at an \$18B USD post-money valuation with capital from local investors. News reports suggested interest from Western PE/VC funds and it seems shareholders were disappointed with the lack of a global cap table supporting the valuation. However, our work indicates significant regulatory and reporting complexity from adding western shareholders in the pre-IPO round

and we expect that there will be substantial interest in the subsequent IPO. The latest round covers ~1 year of Kling CapEx spend and we expect the company to go public in mid-'27 before additional capital is required. Kling is expected to reach \$1B ARR by YE'26 and generally launches updated models every few months, on pace with Bytedance. We expect a new model soon which will improve video editing and realism (camera movement and quality), driving an acceleration in ARR growth.

We value Kuaishou on a SOTP basis and see the mid-'27 Kling IPO as the main catalyst to force the market to correctly value the core Kuaishou app and cash balance. Kuaishou's net cash is predominantly fixed-income assets, and we believe management will increase shareholder returns once the capital-intensive Kling business is separated. Depending on revenue trends for the 'core' app, we see +50-100% upside using a 4-8x P/E multiple range.

SOTP Valuation					
	FX	2,814 USD Net Income vs. \$38 est.			
Ex. Kling EPS	1.11	HKD5.03	HKD5.03	HKD5.03	HKD5.03
(x) P/E		4.0x	6.0x	8.0x	10.0x
Kuishou App		20.11	30.16	40.22	50.27
Net Cash	1.11	22.82	22.82	22.82	22.82
Total pre-Kling		42.93	52.99	63.04	73.10
vs. Current		5%	30%	54%	79%
Kling Valuation (USD)		18,000			
USDHKD	7.84	¥141,152			
Ownership		68.33%			
Kuaishou Kling Value		96,449			
Per Share		21.97	21.97	21.97	21.97
Total SOTP Value		64.90	74.96	85.01	95.07
vs. current		59%	83%	108%	133%

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Catalyst

- Kling AI IPO (YE filing, mid '27 IPO)
- Core business growth acceleration
- Increased shareholder returns

Messages

No messages